FREE WORKSHEET · INHERITED PROPERTY

Inherited Home *Basis* Worksheet

You inherited a house. Before you fix, clean, or list anything, get your numbers on one page. This worksheet walks you through your stepped-up basis, what counts as an improvement, your selling costs, and an estimated gain. Then you compare four ways to sell, using net cash, not sale price.

Fill it in with a pencil. Bring it to your CPA. Bring it to me.

1
Lock in the date-of-death value.

2
Log improvements separately from repairs.

3
Compare four options by net cash.



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1 Date-of-death value & appraisal

Your basis in inherited property is generally its fair market value on the date of death, or on the alternate valuation date if the estate elected it (IRC §1014; Pub 551; Pub 523). Get a written, date-of-death appraisal from a licensed appraiser.

Property address _____ Appraisal date _____

Date of death _____ Alternate valuation date used? Y / N _____

Appraiser / license # _____ **A. Date-of-death value $** _____

Your ownership share (heir / co-owner) % _____ Your share of A $ _____

2 Capital improvements vs. repairs log

Improvements that add value, prolong useful life, or adapt the home to new uses generally increase basis (Pub 551, Pub 523). Repairs and maintenance, such as painting or fixing leaks, generally do not. Keep every receipt.

DATE	WORK DONE	CONTRACTOR	COST $	IMPROVEMENT OR REPAIR?
				I / R
				I / R
				I / R
				I / R
				I / R
				I / R
		B. Total capital improvements (I only) $		

Ask your CPA, not the internet. Pub 523 lists examples: landscaping and wall-to-wall carpeting appear as improvements; painting and fixing leaks are treated as repairs. A cleanout usually isn't an improvement. Your CPA decides how your specific work is classified.

3 Selling costs

EXPENSE (PUB 523 "SELLING EXPENSES")	AMOUNT $
Real estate commissions	
Escrow & title fees	
Transfer taxes / recording paid by seller	
Legal fees related to the sale	
Other (ask your CPA): _____	
C. Total selling costs $	

4 Estimated gain

D. Expected sale price	**$**
E. Amount realized = D − C (selling costs)	**$**
F. Adjusted basis = A (or your share) + B (improvements)	**$**
G. Estimated gain or (loss) = E − F	**$**

Inherited property is generally treated as held more than one year, so a gain is generally long-term (Pub 544; IRC §1223(9)). Whether a loss is deductible depends on how the property was used. Ask your CPA.

5 Compare four options: net cash, not sale price

Carrying costs are what you pay while you hold the house: property tax, insurance, utilities, loan payments. Fill in your own estimates for each column.

	AS-IS	CLEANOUT	COSMETIC	FULL RENO
Fix-up / cleanout cost $				
...of which improvements (adds to basis) $				
Months until sold				
Carrying costs (months × monthly) $				
Expected sale price $				
Selling costs $				
Adjusted basis $				
Estimated gain $				
Net cash = price − selling − fix-up − carrying (before any tax) $				

Why this matters. In the example from my video (example numbers only), the fully renovated house sold for the most and netted the least, because fix-up and months of carrying costs ate the difference. Your numbers will be different. That is the point of filling this in.

6 Questions to bring to your CPA

- ☐ Is the date-of-death appraisal enough, or did the estate use an alternate valuation date?
- ☐ How is my share of the basis figured if I co-own with siblings or a trust?
- ☐ Which items in my log count as capital improvements, and which are repairs?
- ☐ Which of my selling costs reduce the amount realized?
- ☐ Is my gain long-term, and what rate applies to me? Any California tax on top?
- ☐ If I rent the house or live in it before selling, how does that change things?
- ☐ If the sale shows a loss, can I deduct it?
- ☐ What records should I keep, and for how long?



Want a second set of eyes on the house side? I'll walk the property with you and give you real prices for each option. Call or text (818) 402-7326.

Disclaimer: General information only, not tax, legal, or financial advice. Based on IRS Publications 551 (Basis of Assets), 523 (Selling Your Home), 544 (Sales and Other Dispositions of Assets) and IRC §1014. Tax rules change and your situation is unique; talk to a CPA or tax attorney before you act. Example numbers are illustrative only; no outcome is guaranteed. Kareem Jamal · Rodeo Realty · DRE #01998956 · Equal Housing Opportunity.